Despite widespread tenancy and leasing of land, only a tenth of it is on record (as per agricultural census). So, any DBT of fertiliser subsidy will only reach the landholder and not the actual cultivator. Moreover, there is huge variation in per hectare consumption of fertiliser. In 2019-20, Kerala consumed 36.5 kg per ha of nitrogen, phosphorus and potash while Bihar consumed 245.3 kg per ha—highest in the country and more than even Punjab's (243 kg per ha). Uniform DBT of fertiliser subsidy across states is not easy. So, informed consultations are needed with stakeholders from various states to formulate a policy that does not compromise on food production.

Food security

A large section of India's urban middle class considers food security as a given. They do not realise that the country's surpluses for most of the agricultural production are marginal. In addition, the impact of climate change on food security remains uncertain. If the economy actually grows at 7-8 per cent per annum and the benefits percolate to the masses, the demand for agricultural produce, especially proteins, fruits and vegetables, will grow and the current surpluses in some commodities may end. Concerted efforts to improve yields and reduce losses are thus pivotal.

Climate impact on sustainability of agriculture

Another critical issue on which consensus needs to be reached urgently this year is the agro-ecological sustainability of India's original Green Revolution regions, such as Punjab, Haryana and western Uttar Pradesh. Similarly, cultivation of sugarcane in the water-stressed regions of Maharashtra, Tamil Nadu, Uttar Pradesh, etc. is unsustainable.

In Punjab, the area under paddy has increased from 2 million ha (48 per cent of net sown area) in 1990-91 to 3.1 million ha (75 per cent of net sown area) in 2018-19. This expansion of area under paddy has come at the expense of pulses and oilseeds. Similarly, the area under sugarcane in Maharashtra has increased from 0.44 lakh ha in 1990-91 to 1.16 lakh ha in 2018-19. According to calculations by the Commission for Agricultural Costs and Prices (CAPC) (Price Policy for Sugarcane 2019-20), of the profitability of various crops from 2014-15 to 2016-17, sugarcane was the most profitable, compared to any other combination of crops. Paddy and wheat gave about 50 per cent relative gross returns (over A2+FL) compared to sugarcane. Incidentally, sugarcane is the only crop for which all buyers are legally mandated to pay the price fixed by the government. Farmers are demanding the same for all crops.

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The policy of guaranteed prices of sugarcane, along with introduction of new varieties, is largely responsible for the increase in area under sugarcane, from 3.68 million ha in 1991-21 to 5.06 million ha in 2018-19. As a result, India produces about 32-33 million tonnes of sugar a year while the domestic demand is only about 25.5 million tonnes. To enable sugar mills to pay the cane price to farmers, the central and state governments have been offering a number of incentives, ranging from creation of a buffer stock to interest subvention on loans to subsidy on export of sugar. The expert committee on cropping patterns will look at not only the cultivation of paddy in Punjab, Haryana and western Uttar Pradesh but also at sugarcane in various states.

Strengthen APMCs and invest in infrastructure

Even before the three farm laws were enacted in 2020, there was a consensus that serious reforms were needed in agricultural marketing, including APMCs (Agricultural Produce Market Committees). These include liberal issue of trading licences, a uniform market fee of not more than 2 per cent across states, a single unified licence for all APMCs in a state and no restriction on movement of agricultural produce within and outside the states. These reforms are well within the powers of the state governments. However, a central law may still be required for interstate trade. The model APMC laws circulated by the Centre since 2003 had aimed to achieve this. It should not be difficult for the Centre to persuade the states run by the BJP to implement these marketing reforms.

The farmers' agitation has created enormous public awareness and interest in the present and future of Indian agriculture. The momentum for reforms should not be lost. ■

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